generally observe is that success rates increase for lower withdrawal rates, shorter time horizons, and higher stock allocations. We can also see how sensitive results are to withdrawal rates, as for instance with thirty-year horizons and a 50/50 portfolio, the success rate is 100 percent with a 4 percent initial withdrawal rate, and it falls to 69 percent with a 5 percent withdrawal rate, and only 45 percent with a 6 percent withdrawal rate.

As well, I know of at least one nationally syndicated radio show host who talks about an 8 percent withdrawal rate being safe with a 100 percent stock portfolio. The Trinity study does help clarify the wackiness of this notion. After twenty-five years, it's a coin flip about whether any assets are left for someone following that strategy in the historical data.

Again, it is important to be clear that these success rates are based on US history. It is faulty logic to think that these are the success rates applying to new retirees today. The particular situation today is that interest rates are so low relative to history, and this is a very important matter when assessing the viability of different withdrawal strategies. Remember the initial lesson: lower returns imply lower spending. So while I know that the Trinity study is still quite popular in practice, I would suggest a lot of extra caution for anyone seeking to plan their retirements using its numbers. Before discussing this point further, it is worthwhile to discuss Monte Carlo simulations as another alternative for studying the question of safe withdrawal rates.